



MPONGWE TOWN COUNCIL



FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2022

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REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December 2022 which discloses the sources, utilization and cash balances for Mpongwe Town Council during the period under review.

Background and Location of the Council

The Council is located in Mpongwe District in Copperbelt Province of Zambia. Mpongwe District covers an area of 8376 Square Kilometers (Km²). The District is approximately 65 Km from Luanshya Town and 90 Km from Kapiri Mposhi, The District shares borders with Masaiti, Lufwanyama, Ngabwe, Kapiri Mposhi and Kasempa.

The Census of Population undertaken by the Central Statistics Office in 2010 revealed that the District had a population of 93,380 people.

Mpongwe District is known to be the bread basket of the Copperbelt due to its ability to provide investments which may include: agricultural crop production, agricultural and livestock processing, livestock production and Commerce and Trade.

The District has six (6) Chiefdoms namely; Malembeka, Kalunkumya, Mwinuna, Ndubeni, Machiya and Lesa.

The address of the registered office of Mpongwe Town Council (MTC) is as follows:

The Civic Centre

Machiya Road

P O Box 50

Mpongwe

REPORT OF THE COUNCIL

Composition of the Council

Mpongwe Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 6 of the Local Government Act No. 2 of 2019. As a Local Authority, the Town Council administers the Mpongwe District.

The Council is composed of an elected Council Chairperson, thirteen (13) elected Councillors from Thirteen (13) Wards, and three (3) Chiefs as provided for under Article 153 of the Constitution of Zambia (Amendment) Act No.2 of 2016. The current Council was elected to office in 2021 to serve a five-year term up to 2026. The Deputy Council Chairperson was elected from among the Councillors in 2021 to serve for a period of two and half years.

The Councillors who held office up to 31-01-2021 were:

S/N	NAME	GENDER	POSITION	WARD
1	Emmanuel Masanga	Male	C/Chairperson	Not applicable
2	Jesper Ngwejie	Male	Deputy Mayor	Kashiba
3	Chrispin Tembo	Male	Councillor	Mikata
4	Isaac Hachuumpa	Male	Councillor	Kalweo
5	Taxon Mubili jnr	Male	Councillor	Musofu
6	Molo Crescious	Male	Councillor	Ipumbu
7	Tembo Harriet	Male	Councillor	Luswishi
8	Mathew Banda	Male	Councillor	Kasonga
9	Shakapanga Humphrey	Male	Councillor	Mukumpu
10	Shaingisha Norman	Male	Councillor	Mpongwe Central
11	Mwansa Percy	Male	Councillor	Nampamba
12	Moyo owen	Male	Councillor	Kanyenda
13	Mukwemba Brevan	Male	Councillor	Kasamba
14	Derrick Musukuma	Male	Councillor	Ibenga
15	Rhodah Mwanza	Female	Chief Representative	Not applicable
16	Musonda Margret	Female	Chief Representative	Not applicable
17	Malisopo Eston	Male	Chief Representative	Not applicable

The District also had One (1) elected members of parliament for Mpongwe Central constituency.

S/N	NAME	GENDER	CONSTITUENCY
1	Hon. Gregory Ngowani	Male	Mpongwe

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year 2022 Mr. Mukomba Burton was the District Commissioner for Mpongwe District.

The Council Secretariat

The Secretariat of Mpongwe Town Council is headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission.

The Council Secretary is assisted by four (4) Heads of Departments responsible for Finance, Planning, Works and Administration, and two (2) Heads of Units Namely Procurement and Internal Audit.

REPORT OF THE COUNCIL

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No. 2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2022	2021
	Kwacha	Kwacha
Cash Receipts	39,237,536	15,268,933
Payments	19,533,048	15,032,717
Increase/(Decrease) in Cash and Cash Equivalents	19,704,488	236,216

Key Policies Adopted During the Year

The Council did not adopt any policies during the year 2022.

Related Party Transaction

There were no related party transactions during the financial year.

Property, Plant and Equipment

Property, Plant and Equipment amounting to K732,484 were purchased during the year.

Intangible Assets

There were no purchases of intangible assets during the year.

Employees

The average number of employees during the year was one hundred and nineteen (119) and the total amount spent on employees' remuneration and welfare during the year was K8,925,479

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year did not incur any cost towards sporting activities.

REPORT OF THE COUNCIL

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

Sign

Name

Council Chairperson

Date.....

STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Mpongwe Town Council is responsible for preparing the financial statements for the year ended 31st December, 2022 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 7 to 9.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019.

The Council further accepts responsibility:

- For the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- For designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Mpongwe Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Town Council for the financial year ended 31st December, 2022.

Signed on behalf of the Councilby;

Name:..... **Name:**.....

Signature:..... **Signature:**.....

Position: Council Chairperson **Position: Council Secretary**

Name:.....

Signature:.....

Position: Council Treasurer

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2022

	Note	2022 Kwacha	2021 Restated Kwacha
RECEIPTS			
Local Taxes	2	252,035	226,181
Fees and Charges	3	3,576,546	1,011,185
Licences	4	40,560	41,770
Levies	5	925,541	3,346,455
Permits	6	282,068	142,335
Local Government Equalisation Fund	7	9,689,697	8,515,444
Constituency Development Fund	8	23,739,911	1,600,000
Other Grants	9	465,000	350,000
Borrowings	10	-	-
Commercial Venture	11	-	-
Other Receipts	12	266,178	35,563
TOTAL RECEIPTS		39,237,536	15,268,934
PAYMENTS			
Personal Emoluments	13	8,925,479	7,710,726
Use of goods and services	14	5,070,257	4,838,045
Financial Charges	15	-	-
Social Benefits	16	3,139,376	-
Non-financial Assets Acquisition	17	732,484	2,154,737
Financial Assets	18	-	-
Loan Repayments	19	-	-
Other payments	20	1,665,452	329,209
TOTAL PAYMENTS		19,533,048	15,032,718
Increase/(Decrease) in Cash		19,704,488	236,216
Foreign Exchange Losses	21	-	-
Cash at beginning of the year	22	2,995,801	2,759,585
Cash at the end of the year	22	22,700,289	2,995,801

Name:.....
Signature:.....
Position: Council Chairperson
Name:.....
Signature.....
Position: Council Treasurer

Name:.....
Signature:.....
Position: Council Secretary

**STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE
YEAR ENDED 31ST DECEMBER 2022**

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	286,725	-	286,725	252,035	88%	(34,690)	-12%
Fees and Charges	7,644,253	-	7,644,253	3,576,546	47%	(4,067,707)	-53%
Licences	175,800	-	175,800	40,560	23%	(135,240)	-77%
Levies	3,534,276	-	3,534,276	925,541	26%	(2,608,735)	-74%
Permits	405,100	-	405,100	282,068	70%	(123,032)	-30%
Local Government Equalisa	8,736,639	-	8,736,639	9,689,697	111%	953,058	11%
Constituency Development	25,700,000	-	25,700,000	23,739,911	92%	(1,960,089)	-8%
Other Grants	300,000	-	300,000	465,000	155%	165,000	55%
Borrowings	-	-	-	-	0%	-	0%
Commercial Venture	-	-	-	-	0%	-	0%
Other Receipts	500,000	-	500,000	266,178	53%	(233,822)	-47%
TOTAL RECEIPTS	47,282,793	-	47,282,793	39,237,536	83%	(8,045,257)	-17%
PAYMENTS							
Personal Emoluments	10,011,372	-	10,011,372	8,925,479	89%	1,085,893	11%
Use of goods and services	7,217,790	-	7,217,790	5,070,257	70%	2,147,533	30%
Financial Charges	-	-	-	-	0%	-	0%
Social benefits	3,139,376	-	3,139,376	3,139,376	100%	-	0%
Non-financial assets acquisition	16,928,607	-	16,928,607	732,484	4%	16,196,123	96%
Financial Assets	-	-	-	-	0%	-	0%
Loan Repayments	-	-	-	-	0%	-	0%
Other payments	9,985,648	-	9,985,648	1,665,452	17%	8,320,196	83%
TOTAL PAYMENTS	47,282,793	-	47,282,793	19,533,048	41%	27,749,745	59%
Increase/(Decrease in Cash	1,610,787	-	0	19,704,488		(35,795,002)	

The composition of budget adjustments and explanations of major variances are provided in note
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STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2022

	2022 Kwacha	2021 Restated Kwacha
RECEIPTS		
Funding 7(a)	9,689,697	8,515,444
TOTAL RECEIPTS	9,689,697	8,515,444
PAYMENTS		
Operation: 7(b)		
Salaries and Wages	7,751,758	6,812,355
Terminal Benefits	-	-
Utility Bills	-	-
Service Provision	-	-
Goods and Services	-	-
Administrative Costs	-	-
Other Costs	-	-
Sub-Total	7,751,758	6,812,355
Capital Ex: 7(c)		
Infrastructure Develo	195,659	222,948
Rehabilitation Works	353,999	327,804
Asset Acquisition	-	410,404
Other Costs	467,781	541,297
Sub-Total	1,017,439	1,502,453
TOTAL PAYMENTS	8,769,197	8,314,808
Increase/(decrease) in	920,500	200,636
Cash at beginning of the	508,253	307,617
Cash at the end of the	1,428,753	508,253

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST DECEMBER 2022

		2022	2021
		Kwacha	Restated Kwacha
RECEIPTS			
Funding	8(a)	23,739,911	1,600,000
Other sources	8(b)	266,177	35,563
TOTAL RECEIPTS		24,006,088	1,635,563
PAYMENTS			
Infrastructure Development	8(c)	704,669	1,013,467
Rehabilitation Works	8(d)	-	-
Asset Acquisition	8(e)	25,320	138,268
Administrative Costs	8(f)	601,062	48,241
Other costs		3,872,817	-
TOTAL PAYMENTS		5,203,868	1,199,976
Increase/(Decrease) in Cash		18,802,220	435,587
Cash at beginning of the year		2,079,837	1,644,250
Cash at the end of the year		20,882,057	2,079,837

Note 8 explains the composition and other details relating to the various elements included in this Statement.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) and Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Mpongwe Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. However, the Act does not specify which particular accrual basis of accounting to use. In applying Cash Basis of Accounting, the Council followed guidance listed below:

- (a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.
This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.
- (b) Accounting Pronouncement: 2018/3 – Applicability of International Public Sector Accounting Standards (IPSASs).
This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act, 2008 requires the adoption of Accrual Basis of Accounting by public entities by 31st December, 2022. The Local Authority is preparing to adopt Accrual Basis IPSASs on 1st January, 2025.
- (c) Treasury and Financial Management Circular No. 10 of 2019 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018. The Treasury and Financial Management Circular provides as follows:
 - i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
 - ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called ‘Encouraged Additional Disclosures’ in Cash Basis financial statements for the years ending 31st December 2022 up to 2024.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January 2025 by following the guidelines provided in IPSAS 33 – “First Time Adoption of Accrual Basis IPSASs”.
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January, 2022 and should end on 31st December, 2024. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act, 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Mpongwe Town Council (MTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalization Fund in the district.

1.3 Authorization Date

The financial statements were authorized for issue on by the ordinary/special Council.

1.4 Revenue

Revenue is recognized when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorizes Mpongwe Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leviable persons owning or occupying property or premises situated within the area of the District;
- leviable persons carrying on a business, trade or occupation within the area of the District; or
- the purchase or sale of a commodity within the area of the District.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

b. Fees and Charges

Section 27 (1) of the Local Government Act No.2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any license or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;
- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognized when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government a1properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is Zambian Kwacha.

1.12 Foreign Currencies

Transactions in other currencies are converted into Zambian Kwacha using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into Kwacha at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- Land Current Value
- Buildings Cost or Market Value
- Plant and Equipment Cost

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity
- (b) Principal activity of the entity
- (c) Percentage of shareholding in the entity
- (d) Receipts in form of dividends and other returns on the investments

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

The key management personnel of the Council are:

- (a) the Mayor/Chairperson, elected councillors, co-opted members of the Audit and Procurement Committees, chiefs who are part of the council representing other chiefs in the district, and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized. Mpongwe Town Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Mpongwe Town Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year, the Council generated local tax cash receipts as follows:

Local Tax Type	2022	2021
	Kwacha	Kwacha
Residential Rates	55,704	33,672
Industrial / Commercial Rates	137,721	127,820
Personal Levy	58,610	64,690
	-	-
TOTAL	252,035	226,181

The Council relied on the Valuation Roll updated for the period 2013 – 2018 to determine the property rates receivable.

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2022	2021
	Kwacha	Kwacha
Fees and charges	3,158,673	777,335
Land Development Charges	417,873	233,850
Total	3,576,546	1,011,185

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2022 Kwacha	2021 Kwacha
Consent Fees	-	-
Survey Fees	27,500	26,800
Building Inspection fees	32,310	18,513
Plan Scrutiny Fees	25,439	17,125
Rentals/Lease of Council's properties	4,500	95,887
Application Form Fees	184,524	48,710
Sketch Fees	-	4,115
Hire of halls	-	500
Market Fees	8,280	5,215
Parking Fees	283,253	299,584
Bus Station Fees	-	4,130
Affidavit Fees	-	-
Grave Reservation	-	-
Refuse Disposal Fees	66,369	71,356
Notice of Marriage	4,150	520
Abattoir/Meat Inspection Fees	-	-
Farm Produce Levy	1,941,463	-
Communication Mast Levy	130,000	170,000
Notice board advert	-	-
Billboard and Banner	39,036	680
Lease of Council Transport	1,740	1,100
Rentals from houses	153,150	-
Penalties	10,150	7,300
Site Rent	-	-
Change of ownership of plot	18,800	5,800
Other Fees and Charges/other income	228,010	-
TOTAL	3,158,673	777,335

NOTES TO THE FINANCIAL STATEMENTS

b. Fees and charges

The Council generated the following fees

Land Development Charges

The Council collected the following land development related charges:

	2022	2021
	Kwacha	Kwacha
Service charges - residential plots	234,823	68,305
Extract of minutes	1,904	465
Other/Admin charges	181,146	165,080
TOTAL	417,873	233,850

4. Licenses

A total of K40,560 cash receipts was raised from issuance of various licenses.

	2022	2021
	Kwacha	Kwacha
Liquor licence	-	4,440
Firearm and ammunition licence	17,560	20,300
Petroleum licence	23,000	17,000
Dog licence	-	30
TOTAL	40,560	41,770

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NOTES TO THE FINANCIAL STATEMENTS

5. Levies

The Council generated cash receipts by charging levies as follows:

	2022	2021
	Kwacha	Kwacha
Livestock Levy	83,175	103,185
Bird Levy	349,512	536,488
Fish Levy	72,029	53,798
Pole Levy		9,226
Charcoal Levy	120,302	183,082
Sand Levy	3,080	100
Business levy	275,257	448,827
opaque beer levy		1,450
Miscellaneous levies	22,186	2,010,299
TOTAL	925,541	3,346,455

NOTE: The K22,187 reported as miscellaneous levies was collected from various grain levies which include, Timber and scrap levy.

6. Permits

The Council generated cash receipts from issuing various permits as follows:

	2022	2021
	Kwacha	Kwacha
Health Permit	106,766	46,350
Burial Permits and Grave sites	5,480	3,410
Fire Certificates	159,193	82,835
Extension of business hours permits	5,280	1,600
Other Permits/opaque beer	5,349	8,140
TOTAL	282,068	142,335

NOTES TO THE FINANCIAL STATEMENTS

7. Local Government Equalization Fund

a. Funding

	2022	2021
	Kwacha	Kwacha
1st Funding	819,095	728,115
2nd Funding	803,832	703,628
3rd Funding	811,942	705,495
4th Funding	788,679	720,494
5th Funding	811,605	725,270
6th Funding	811,713	725,270
7th Funding	811,713	663,188
8th Funding	805,712	667,607
9th Funding	805,713	701,429
10th Funding	805,113	725,270
11th Funding	806,564	1,449,677
12th Funding	808,017	-
TOTAL	9,689,697	8,515,444

b. Operational Expenditure

The Council applied amounts totalling K7,751,758 of LGEF receipts towards meeting operational expenses representing 80% of the total LGEF funding for the reporting period. These expenses are included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

c. Capital Expenditure

The Council applied amounts totalling K1,017,439 of LGEF receipts towards meeting capital expenditure representing 11% Of the total LGEF Capital funding for the reporting period. A balance of K1, 428,754 is still in the Capital Account and it's yet to be utilised by the Council. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

NOTES TO THE FINANCIAL STATEMENTS

8. Constituency Development Fund

The various elements constituting Statement of Cash Receipts and Payments for CDF are analyzed as follows;

a) CDF Funding

	2022	2021
Constituency	Kwacha	Kwacha
Mpongwe	23,739,911	1,600,000
Total	23,739,911	1,600,000

b) Other CDF Sources of Funding

	2022	2021
Constituency	Kwacha	Restated Kwacha
Mpongwe	-	-
Bank interest	266,178	35,563
Total	266,178	35,563

Other CDF sources of funding consisted interest earned on the amounts held in CDF bank accounts.

c) Infrastructure Development

	2022	2021
Constituency	Kwacha	Restated Kwacha
Mpongwe	704,669	1,013,467
Total	704,669	1,013,467

The figures in 2021 of K873,443 was restated to K1,013,467 as it was understated.

Infrastructure development works included construction of mothers' shelters at various clinics and classroom blocks.

d) Rehabilitation Works

	2022	2021
Constituency	Kwacha	Kwacha
Mpongwe		
Total Rehabilitation payments		

Rehabilitation works included renovation of mothers' shelters at various clinics.

NOTES TO THE FINANCIAL STATEMENTS

e) Asset Acquisition

	2022	2021
Constituency	Kwacha	Kwacha
Mpongwe	25,320	138,268
Total Asset Acquisition Payments	25,320	138,268

The assets acquired for Mpongwe Central include a Generator for Mpongwe Mission Hospital.

f) Administrative Costs

	2022	2021
Constituency	Kwacha	Restated Kwacha
Mpongwe Central	601,062	48,241
Total	601,062	48,241

The figures in 2021 of K43,063 was restated to K48,241 as it was understated.

g) Other Cost

	2022	2021
Constituency	Kwacha	Kwacha
Mpongwe Central	5,203,869	
Total	5,203,869	

9. Other grants

During the year, the Council received the following grants:

Revenue Source	2022	2021
	Kwacha	kwacha
Grants in Lieu of Rates	200,000	350,000
Grants from Cooperating Partners	-	-
Other	265,000	
TOTAL	465,000	350,000

10. Borrowings

During the year the Council did not borrow any funds from any financial institution.

11. Council Commercial Venture

Council does not have any commercial ventures.

NOTES TO THE FINANCIAL STATEMENTS

12. Other Receipts.

Council received a total of K266,178 as annual interest on the CDF account.

	2022	2021
	Kwacha	Kwacha
Interest	266,178	35,563

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

Grade	2022	2021
	Kwacha	Kwacha
Salaries Division 1	2,229,937	1,977,301
Salaries Division 2	2,064,545	2,029,915
Salaries Division 3	1,760,625	1,788,155
Wages- Division 4	2,870,372	1,915,356
Other wages		
TOTAL	8,925,479	7,710,726

14. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities

Expenditure Type	2022	2021
	Kwacha	Kwacha
Office Running Costs	352,801	217,749
Building, Repair and Maintenance Costs	260,212	121,520
Plant, Machinery and Vehicle Running and Maintenance Cost	907,942	501,265
Other Administrative operating costs	1,081,111	1,101,326
Requisites	91,248	1,392,753
Services	992,334	501,008
Travel expenses	1,230,014	933,986
Training	52,815	68,439
Medical costs	-	-
Other expenses	101,780	-
TOTAL	5,070,257	4,838,045

The figures in 2021 of K4,980,552 was restated to K4,838,045 as it was overstated.

NOTES TO THE FINANCIAL STATEMENTS

15. Financial Charges

The Council did not pay any financial charges during the year.

16. Social Benefits

Council paid social benefits amounting to K3,139,376.

Name	2022	2021
	Kwacha	Kwacha
Youth Empowerment	319,970	-
Women Empowerment	1,633,230	-
Skills Bursaries	769,626	-
Secondary School Bursaries	416,550	-
TOTAL	3,139,376	-

17. Non-financial Asset Acquisition

The Council acquired non-financial Assets amounting to K732,484.17 during the year under review.

NAME	2022 Kwacha	2021 Kwacha
Land and Buildings(CDF)	704,669	1,013,467
Land and Buildings(LGEF)	-	222,948
Purchase of Land (LGEF)	-	30,000
Boreholes (LGEF)	-	100,404
Generator	-	138,268
Global Position System	-	280,000
Computers	-	-
Fridge	2,495	10,475
Rehabilitation	-	327,805
Office furniture	25,320	-
Airconditions	-	-
Computer software	-	31,370
Total	732,484	2,154,737

The figures in 2021 of K2,012,299 was restated to K2,154,737 as it was overstated.

18. Financial Assets

No financial assets were acquired during the financial year

19. Loan Repayments

Council did not pay any loan repayment to the bank.

NOTES TO THE FINANCIAL STATEMENTS

20. Other Payments

A total amount of K1,665,452 was spent on other payments which relate to sundry items such as subscriptions to other bodies, terminal benefits, leave travel benefits and settling allowances for officers.

Expenditure Type	2022 Kwacha	2021 Kwacha
Subscriptions	-	18,375
Terminal benefits	71,850	115,000
Settling in allowances	77,622	98,143
Commutation of leave days	25,000	25,011
Legal fees	-	-
Gratuity	3,182	-
Leave travel benefits	50,680	38,000
Salary Arrears	2,800	-
Statutory obligation	62,574	34,680
CDF Admin	601,062	-
Loans	733,441	-
Rural water activities	37,242	-
TOTAL	1,665,452	329,209

21. Foreign Exchange Losses

Council did not suffer any exchange losses during the year.

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2022 Kwacha	2021 Kwacha
Cash on hand	20,166	17,427
Demand Deposits	22,680,123	2,978,375
Cash equivalents	-	-
TOTAL	22,700,289	2,995,802

NOTES TO THE FINANCIAL STATEMENTS

a. Cash on Hand

The Council's cash on demand was made of cash collections and petty cash:

	2022	2021
	Kwacha	Kwacha
Cash collections undeposited	20,166	17,427
Petty Cash	-	-
TOTAL	20,166	17,427

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2022:

Account Name	Account No	2022	2021
		Kwacha	Kwacha
Main A/c	Zanaco -0120374300164	1,444	206,250
General Purpose A/c	Zanaco-5157995300177	38,965	43,628
Capital Fund A/C	Zanaco-5669806300140	1,428,754	508,253
CDF A/c	Zanaco-0414259300133	20,882,057	2,079,837
Land Development	Zanaco-0120374300265	171,275	8,300
Rural water	Zanaco-0630230000636	157,628	132,106
TOTAL		22,680,123	2,978,375

c. Cash Equivalents

The Council did not hold any treasury bills during the year.

23. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on and no supplementary budget was made during the year.

No budget adjustments were done during the financial year

b. Budget Variances

The following are the budget variance explanations for both revenue and expenditure.

NOTES TO THE FINANCIAL STATEMENTS

REVENUE VARIANCES

- Fees and Charges

Council planned to collect K7,644,252 from fees and charges but only managed to collect K3,585,766 resulting in a variance of 53%. The adverse variance is attributed to the fact that Council had planned to offload some plots for sell except that the plots were only advertised in the last quarter 2022 hence the people who were offered the plots only started paying by December and early 2023.

- **Licenses**

Council planned to collect K175,800 from licenses but only managed to collect K40,560 resulting in an adverse variance of 77%, this is due to Council not receiving the licenses certificates from Government printers on time.

- **Levies**

Council planned to collect K3, 534,276 from levies but only managed to collect K925,541 resulting in an adverse variance of 74%. The variance is due to most farmers selling their maize to FRA and at the moment Local Authorities have been barred from collecting farm produce levy from farmers selling their produce to FRA.

- **Permits**

Council planned to collect K405,100 from levies but only managed to collect K282,068 resulting in a variance of K123,032 representing 70%. The variance is due to most farmers selling their maize to FRA and at the moment Local Authorities have been barred from collecting farm produce levy from farmers selling their produce to FRA.

- **Other Receipts**

Council planned to collect a total of K500,000 from other payments but only managed to collect K266,178 resulting in an adverse variance of 47%. This was due to some of the Council toilets not being operational during 2022.

EXPENDITURE LEDGERS

- **Non-Financial Assets**

Council planned to spend K16, 928,607 on Non-Financial Assets but only managed to spend K732,484 resulting in an adverse variance of 96%. This was due to most of the CDF projects being approved in the last quarter of 2022.

NOTES TO THE FINANCIAL STATEMENTS

- **Use of Goods and Services**

Council planned to spend K7, 217,790 on use of Goods and Services but only managed to spend K5,070,257 resulting in an adverse variance of 30%, This was due to Council not having enough resources to spend on the items planned to procure during the year 2022.

• **Other Payments**

Council planned to spend K9,985,648 on other payments but only managed to spend K1,665,452 resulting in a variance of K8,320,196 representing 83%. This was due to council not disbursing the loans in 2022 due to the approval for loan disbursement coming in March 2023.

24. Provision of Services

The Town Council incurs expenditure to offering services it is mandated to provide to the residents of the District.

Type of Services	2022 Kwacha	2021 Kwacha
Solid Waste Management	-	50,000
Malaria and TB Prevention and Treatment	5,600	19,560
Make Zambia Clean and Health Campaign	15,450	18,450
HIV/AIDS Prevention	12,300	10,389
Ward Development Fund Projects	85,000	5,775
Sanitation Facility Supply	11,300	9,300
IDP Preparations	185,600	27,000
SUB TOTAL	315,250	140,474

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

NOTES TO THE FINANCIAL STATEMENTS

25. Property, Plant and Equipment

The Council had property, plant and Equipment valued at K 9,034,119.

	Land K	Land and Buildings K	Plant & Machinery K	Motor vehicles K	Computer Software K	TOTAL K
Opening balance	30,000	5,409,058	1,258,747	1,572,460	31,370	8,301,635
Additions		732,484				732,484
Revaluation	-		-	-		-
Re-classification	-	-	-	-		-
Disposal	-	-	-	-		-
Closing balance	30,000	6,141,542	1,258,747	1,572,460	31,370	9,034,119

The figures in 2021 of K8,159,136 was restated to K8,301,635 as it was understated

26. Investments in Other Entities

The Council did not hold any shares in any entity.

27. Administered Transactions

The Council did not collect any tax on behalf of ZRA.

28. Related Party Disclosures

The following disclosures are made in the financial statements of Mpongwe Town Council:

a. Fringe benefits Disclosures

The Mayor was provided with a personal-to-holder car, an office and personal secretary.

b. Remuneration of the Councilor's

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Mpongwe Town Council are:

Aggregate Remuneration	K51,000.00
Number of persons	17

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

NOTES TO THE FINANCIAL STATEMENTS

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration	K2, 891,876.40
Number of persons	16

None of the members of senior management acquired loans from the Council during the period 2022 review nor had any outstanding loans.

29. External Assistance

No external assistance was received.

30. Third Party Payments

Mpongwe Town Council did not make any third part payment.

APPENDICES

APPENDIX A- LIST OF PAYABLES

NAME OF OBLIGATION	OPENING BALANCE	31 ST DECEMBER 2022
	2022 Kwacha	2021 Kwacha
LASF	96,043	189,839
NAPSA	3,675,375	2,176,207
ZRA	6,066,357	3,968,846
ZULAWU	13,035	108,860
FIRESUZ	5,677	3,364
MADISON	14,251	-2,518
NHIMA	716,209	40,066
a. Long Service Bonus	780,574	782,574
b. Leave & Travel benefits	215,770	221,770
TOTAL	11,583,291	7,489,008

APPENDIX B-LIST OF ASSETS ACQUIRED

Name of asset	Amount
Computers	25,320.00
Fridge	2,495.00
Total	27,815.00